



The Board of Directors of NIC Group PLC is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 30th September, 2018.

1 STATEMENT OF FINANCIAL POSITION	BANK					COMPANY					GROUP				
	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000
A ASSETS															
1 Cash (both Local & Foreign)	1,503,950	1,510,717	1,422,521	1,601,159	1,338,045	-	-	-	-	-	1,979,277	1,866,447	1,798,179	1,923,174	1,727,069
2 Balances due from Central Banks	7,551,763	8,755,462	8,088,282	6,541,951	8,794,695	-	-	-	-	-	8,496,806	9,606,169	8,856,548	7,592,957	9,653,420
3 Kenyan Government securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4 Financial assets at fair value through profit & loss	-	-	-	-	-	-	-	-	-	-	768,410	760,891	751,884	617,872	566,149
5 Investment Securities:															
a) Held to Maturity															
a. Kenya Government securities	21,533,223	19,647,208	21,646,484	21,577,580	20,749,614	-	-	-	-	-	21,533,223	19,647,208	21,646,484	21,577,580	20,749,614
b. Other securities	-	-	-	-	-	-	-	-	-	-	1,706,389	1,465,863	1,417,186	1,753,872	1,692,698
b) Available for sale:															
a. Kenya Government securities	35,468,682	33,582,849	30,741,744	29,917,488	28,514,695	-	-	-	-	-	35,468,682	33,582,849	30,741,744	29,917,488	28,514,695
b. Other securities	-	-	-	-	-	-	-	-	-	-	1,475,299	1,040,757	940,596	948,767	830,852
6 Deposits and balances due from local banking institutions	517,478	667,935	607,541	-	-	-	-	-	-	-	519,983	674,728	612,795	32,784	34,256
7 Deposits and balances due from banking institutions abroad	4,141,097	6,851,703	7,361,489	11,434,450	4,505,326	-	-	-	-	-	4,959,932	8,154,962	8,221,762	12,392,284	5,303,241
8 Tax recoverable	-	154,540	-	201,179	-	52,632	47,141	34,775	34,822	3,329	243,746	351,970	180,912	395,513	147,313
9 Loans and advances to customers (net)	107,788,924	108,245,861	108,632,924	112,322,028	110,293,034	-	-	-	-	-	114,928,801	114,972,494	115,914,716	119,760,537	118,552,625
10 Balances due from banking institutions in the group	1,552,917	1,253,043	1,683,253	1,730,189	1,393,715	445,425	429,132	1,220,007	1,200,000	1,200,000	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	29,468,705	29,468,705	29,118,705	29,118,705	29,118,705	-	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	1,011,535	964,688	969,445	1,024,458	909,099	-	-	-	-	-	1,137,496	1,094,675	1,385,040	1,148,712	1,073,145
16 Prepaid lease rentals	6,656	6,687	6,719	6,750	6,781	-	-	-	-	-	522,656	522,687	522,719	522,750	522,781
17 Intangible assets	1,235,503	1,156,948	1,140,127	1,054,318	778,291	-	-	-	-	-	1,743,234	1,666,647	1,659,127	1,580,310	1,258,001
18 Deferred tax asset	3,869,380	3,125,493	3,125,493	3,125,493	3,138,822	-	-	-	-	-	4,139,566	3,394,524	3,410,394	3,418,176	3,531,050
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20 Other assets	1,800,437	1,670,258	1,635,420	2,279,830	1,260,030	500	32,373	207,144	53,955	-	2,183,642	2,147,793	1,725,605	2,589,684	1,538,128
21 TOTAL ASSETS	187,981,545	187,593,392	187,061,442	192,816,873	181,862,147	29,967,262	29,977,351	30,580,631	30,407,482	30,322,034	201,807,142	200,950,664	199,785,691	206,172,460	195,695,037
B LIABILITIES															
22 Balances due to Central Banks	-	-	-	-	4,493,668	-	-	-	-	-	-	-	-	-	4,493,668
23 Customer deposits	136,276,568	138,642,615	136,085,474	130,560,881	123,066,638	-	-	-	-	-	144,957,949	147,088,189	143,932,375	138,916,570	131,429,568
24 Deposits and balances due to local banking institutions	1,950,741	1,487,055	2,824,637	11,442,430	3,851,940	-	-	-	-	-	1,950,741	1,487,055	2,824,637	11,442,430	3,851,940
25 Deposits and balances due to foreign banking institutions	303,125	-	317,455	2,584	13,287	-	-	-	-	-	1,071,600	810,332	904,531	696,065	271,808
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	15,765,958	15,776,969	16,745,682	17,025,858	18,015,735	-	-	-	-	-	15,765,958	15,776,969	16,745,682	17,025,858	18,928,890
28 Balances due to banking institutions in the group	50,395	365,354	25,377	139,541	126,837	-	-	-	-	-	-	-	-	-	-
29 Tax payable	151,307	-	199,858	-	81,698	-	-	-	-	-	157,093	4,502	202,053	5,045	87,384
30 Dividends payable	-	-	-	-	-	50,846	64,904	21,438	22,388	30,573	50,846	64,904	21,438	22,388	30,573
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	4,388,527	3,770,039	4,567,074	4,707,876	4,132,860	49,656	35,908	26,641	61,685	11,096	3,949,294	3,499,079	3,132,618	3,347,867	2,726,655
34 TOTAL LIABILITIES	158,886,621	160,042,032	160,765,557	163,879,170	153,782,663	100,502	100,812	48,079	84,073	41,669	167,903,481	168,731,030	167,763,334	171,456,223	161,820,486
C SHAREHOLDERS' FUNDS															
35 Paid up / Assigned capital	15,000,000	15,000,000	15,000,000	15,000,000	15,000,000	3,519,701	3,519,701	3,199,728	3,199,728	3,199,728	3,519,701	3,519,701	3,199,728	3,199,728	3,199,728
36 Share Premium	9,446,004	9,446,004	9,446,004	9,446,004	9,446,004	2,373,994	2,373,994	2,700,017	2,700,017	2,700,017	2,373,994	2,373,994	2,700,017	2,700,017	2,700,017
37 Revaluation reserves	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
38 Retained earnings	3,204,040	1,987,679	1,549,887	3,533,108	2,616,126	23,973,065	23,982,844	23,992,861	23,783,718	24,380,620	27,604,124	26,385,544	25,883,085	27,815,058	27,442,398
39 Statutory loan reserves	688,919	688,919	123,700	943,716	962,599	-	-	-	-	-	653,944	648,826	196,390	1,042,359	1,161,693
40 Other reserves	755,961	428,758	176,294	14,875	54,755	-	-	-	-	-	(696,448)	(1,155,862)	(1,066,437)	(1,154,389)	(1,138,955)
41 Proposed dividends	-	-	-	-	-	-	-	639,946	639,946	-	-	-	639,946	639,946	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	29,094,924	27,551,360	26,295,885	28,937,703	28,079,484	29,866,760	29,876,539	30,532,552	30,323,409	30,280,365	33,455,315	31,772,203	31,552,729	34,242,719	33,364,881
43 Non-controlling interests	-	-	-	-	-	-	-	-	-	-	448,346	447,431	469,628	473,518	509,670
44 TOTAL SHAREHOLDERS' FUNDS	29,094,924	27,551,360	26,295,885	28,937,703	28,079,484	29,866,760	29,876,539	30,532,552	30,323,409	30,280,365	33,903,661	32,219,634	32,022,357	34,716,237	33,874,551
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	187,981,545	187,593,392	187,061,442	192,816,873	181,862,147	29,967,262	29,977,351	30,580,631	30,407,482	30,322,034	201,807,142	200,950,664	199,785,691	206,172,460	195,695,037

II. STATEMENT OF COMPREHENSIVE INCOME	BANK					COMPANY					GROUP				
	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000
1 INTEREST INCOME															
1.1 Loans and advances	8,409,708	5,597,183	2,806,734	12,202,914	9,166,467	-	-	-	-	-	9,077,667	6,207,996	3,036,998	13,145,500	9,858,671
1.2 Government securities	4,758,706	3,105,370	1,510,580	4,720,018	3,199,920	-	-	-	-	-	5,038,888	3,281,460	1,599,247	5,210,043	3,585,382
1.3 Deposits and placements with banking institutions	115,241	76,507	25,408	67,001	52,400	52,063	43,396	23,538	-	-	113,306	80,024	27,926	59,879	46,446
1.4 Other interest income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.5 TOTAL INTEREST INCOME	13,283,655	8,779,060	4,342,722	16,989,933	12,418,787	52,063	43,396	23,538	-	-	14,229,861	9,569,480	4,664,171	18,415,422	13,490,499
2 INTEREST EXPENSE															
2.1 Customer deposits	5,353,341	3,564,300	1,716,879	5,537,054	3,969,543	-	-	-	-	-	5,544,402	3,685,487	1,775,184	5,955,774	4,297,820
2.2 Deposits and placement from banking institutions	123,273	91,481	79,030	289,619	122,133	-	-	-	-	-	143,835	104,763	85,717	319,111	143,021
2.3 Other interest expenses	959,551	634,493	314,200	1,312,159	976,860	-	-	-	-	-	975,625	645,809	319,841	1,366,735	1,012,765
2.4 TOTAL INTEREST EXPENSE	6,436,165	4,290,274	2,110,109	7,138,832	5,068,536	-	-	-	-	-	6,663,862	4,436,059	2,180,742	7,641,620	5,453,606
3 NET INTEREST INCOME	6,847,490	4,488,786	2,232,613	9,851,101	7,350,251	52,063	43,396	23,538	-	-	7,565,999	5,133,421	2,483,429	10,773,802	8,036,893
4 NON - INTEREST INCOME															
4.1 Fees and commissions on loans and advances	1,019,849	690,188	294,555	1,276,434	968,663	-	-	-	-	-	1,089,849	585,471	320,385	1,404,759	1,066,078
4.2 Other fees and commissions	675,416	453,534	221,908	803,446	599,524	-	-	-	-	-	739,600	495,834	243,621	890,335	665,261
4.3 Foreign exchange trading income	937,263	636,687	280,060	1,092,920	856,764	-	-	-	-	-	1,002,803	683,035	300,264	1,158,930	906,182
4.4 Dividend income	-	-	-	-	-	200,000	200,000	200,000	-	-	-	-	-	-	-
4.5 Other income	349,261	215,610	108,184	471,199	353,581	107,797	71,067	45,570	46,708	-	556,710	385,610	178,636	710,316	524,129
4.6 TOTAL NON-INTEREST INCOME	2,981,789	1,996,019	904,707	3,643,999	2,778,532	307,797	271,067	245,570	46,708	-	3,388,962	2,149,950	1,042,906	4,164,340	3,161,650
5 TOTAL OPERATING INCOME	9,829,279	6,484,805	3,137,320	13,495,100	10,128,783	359,860	314,463	269,108	46,708	-	10,954,961	7,283,371	3,526,335	14,938,142	11,198,543
6 OPERATING EXPENSES															
6.1 Loan loss provision	1,409,685	934,785	503,883	2,779,913	2,090,962	-	-	-	-	-	1,599,639	1,113,751	554,711	2,979,723	2,144,632
6.2 Staff costs	2,082,794	1,366,096	627,430	2,516,271	1,911,001	77,825	46,783	29,433	23,358	6,288	2,598,094	1,697,979	803,311	3,177,296	2,387,267
6.3 Directors' emoluments	44,076	29,385	14,692	143,345	86,094	77,076	55,689	20,812	21,349	4,808	176,340	122,117	43,027	196,489	109,833
6.4 Rental charges	190,492	125,236	63,245	237,750	192,398	-	-	-	-	-	289,653	190,476	97,399	372,434	292,769
6.5 Depreciation charge on property and equipment	161,223	102,217	50,108	200,796	151,017	-	-	-	-	-	203,804	131,022	63,983	274,698	206,597
6.6 Amortisation charges	114,899	75,845	37,426	188,557	152,505	-	-	-	-	-	135,260	88,663	44,266	222,540	180,168
6.7 Other operating expenses	1,449,744	941,989	488,690	1,752,431	1,229,270	21,313	14,375	6,938	750	-	1,633,907	1,091,599	533,136	2,114,012	1,485,931
6.8 TOTAL OPERATING EXPENSES	5,452,913	3,575,553	1,785,474	7,819,063	5,813,247	176,214	116,847	57,183	45,457	11,096	6,636,697	4,435,607	2,139,833	9,337,192	6,807,197
7 Profit before tax and exceptional items	4,376,366	2,909,252	1,351,846	5,676,037	4,315,536	183,646	197,616	211,925	1,251	(11,096)	4,318,264	2,847,764	1,386,502	5,600,950	4,391,346
8 Exceptional items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9 PROFIT AFTER EXCEPTIONAL ITEMS	4,376,366	2,909,252	1,351,846	5,676,037	4,315,536	183,646	197,616	211,925	1,251	(11,096)	4,318,264	2,847,764	1,386,502	5,600,950	4,391,346
10 Current tax	(1,867,415)	(872,775)	(405,553)	(2,108,423)	(1,809,571)	4,906	715	(3,578)	34,822	3,329	(1,850,863)	(861,091)	(413,845)	(2,121,835)	(1,845,130)
11 Deferred tax	743,887	-	-	579,829	773,157	-	-	-	-	-	743,887	-	-	665,303	773,157
12 PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	3,252,838	2,036,477	946,293	4,147,443	3,279,122	188,552	198,331	208,348	36,073	(7,767)	3,211,288	1,986,673	972,657	4,144,418	3,319,373
13 Other Comprehensive Income:															
13.1 Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	-	-	-	161,769	(297,645)	(63,823)	(148,994)	(67,336)
13.2 Fair value changes in available-for-sale financial assets	741,086	413,883	161,419	984,072	1,023,952	-	-	-	-	-	296,172	296,172	151,775	120,979	54,755
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13.4 Share of comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14 OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	741,086	413,883	161,419	984,072	1,023,952	-	-	-	-	-	457,941	(1,473)	87,952	(28,015)	(12,581)
15 TOTAL COMPREHENSIVE INCOME FOR THE YEAR	3,993,924	2,450,360	1,107,712	5,131,515	4,303,074	188,552	198,331	208,348	36,073	(7,767)	3,669,229	1,985,200	1,060,609	4,116,403	3,306,792
	Shs	Shs	Shs	Shs	Shs	-	-	-	-	Shs	Shs	Shs	Shs	Shs	Shs
EARNINGS PER SHARE - BASIC & DILUTED (Shs)	216.86	135.77	63.09	6.48	5.12	0.27	0.28	0.33	0.06	-	4.56	2.82	1.52	6.48	5.19
INTERIM DIVIDEND PER SHARE - DECLARED (Shs)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
FINAL DIVIDEND PER SHARE - DECLARED (Shs)	-	-	-	-	-	-	-	-	1.00	-	-	-	-	1.00	-

III OTHER DISCLOSURES	BANK					COMPANY					GROUP				
	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2018 Un-audited Shs '000	30th June, 2018 Un-audited Shs '000	31st March, 2018 Un-audited Shs '000	31st Dec, 2017 Audited Shs '000	30th Sep, 2017 Un-audited Shs '000
1.NON-PERFORMING LOANS AND ADVANCES															
(a) Gross Non-performing loans and advances	15,890,886	15,626,414	15,269,807	13,264,825	13,895,404	-	-	-	-	-	16,418,524	16,157,764	15,936,895	14,320,960	14,702,521
(b) Less Interest in Suspense	1,816,759	1,580,812	1,486,397	1,214,317	1,840,504	-	-	-	-	-	1,862,059	1,605,040	1,543,419	1,282,160	1,916,878
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	14,074,127	14,045,602	13,783,410	12,050,508	12,054,900	-	-	-	-	-	14,556,465	14,552,724	14,393,476	13,038,800	12,785,643
(d) Less Loan Loss Provision	6,244,974	6,493,979	5,955,082	4,922,952	5,233,200	-	-	-	-	-	6,577,109	6,824,055	6,109,493	5,265,710	5,151,061
(e) NET NON-PERFORMING LOANS AND ADVANCES(c-d)	7,829,153	7,551,623	7,828,328	7,127,556	6,821,700	-	-	-	-	-	7,979,357	7,728,669	8,283,983	7,773,090	7,634,582
(f) Discounted Value of Securities	7,829,153	7,551,623	7,828,328	7,127,556	6,821,700	-	-	-	-	-	7,979,357	7,728,669	8,283,983	7,773,090	7,634,582
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.INSIDER LOANS AND ADVANCES															
(a) Directors, shareholders and associates	1,115,797	906,360	945,189	571,342	563,766	-	-	-	-	-	1,173,882	939,381	1,009,947	678,070	662,576
(b) Employees	2,198,600	2,209,323	2,273,593	2,249,290	2,212,160	-	-	-	-	-	2,284,065	2,294,762	2,347,924	2,275,960	2,222,983
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	3,314,397	3,115,683	3,218,782	2,820,632	2,775,926	-	-	-	-	-	3,457,947	3,234,143	3,357,872	2,954,030	2,885,559
3.OFF-BALANCE SHEET ITEMS															
(a) Letters of credit, guarantees, acceptances	15,626,513	15,740,258	14,915,529	14,504,043	14,949,887	-	-	-	-	-	15,755,642	15,993,258	15,124,546	14,700,202	15,322,471
(b) Forwards, Swaps and options	9,389,768	9,473,424	8,408,327	12,052,253	27,526,620	-	-	-	-	-	9,464,233	9,473,424	8,408,327	12,052,253	27,526,620
(c) Other contingent liabilities	-	-	-	-	-	-	-	-	-	-	452,744	576,998	671,380	546,883	-
(d) TOTAL CONTINGENT LIABILITIES	25,016,281	25,213,682	23,323,856	26,556,296	42,476,507	-	-	-	-	-	25,672,618	26,043,680	24,204,253	27,299,338	42,849,091
4.CAPITAL STRENGTH															
(a) Core capital	24,756,610	24,831,497	24,949,527	27,651,530	26,306,235	-	-	-	-	-	30,941,827	31,019,969	31,047,725	33,417,167	31,714,067
(b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	-	-	-	-	-	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	23,756,610	23,831,497	23,949,527	26,651,530	25,306,235	-	-	-	-	-	29,941,827	30,019,969	30,047,725	32,417,167	30,714,067
(d) Supplementary Capital	3,458,258	4,605,568	4,416,040	5,312,857	5,299,861	-	-	-	-	-	3,423,283	4,565,475	4,488,730	5,411,500	5,498,955
(e) TOTAL CAPITAL (a+d)	28,214,867	29,437,065	29,365,567	32,964,388	31,606,096	-	-	-	-	-	34,365,110	35,585,444	35,536,455	38,828,667	37,213,022
(f) TOTAL RISK WEIGHTED ASSETS	162,888,649	163,491,796	162,113,273	165,647,097	161,199,002	-	-	-	-	-	171,043,514	171,798,461	170,517,868	174,375,225	170,251,135
(g) Core Capital / Total deposits liabilities	18.14%	17.89%	18.33%	21.18%	21.38%	-	-	-	-	-	21.35%	21.09%	21.57%	24.06%	24.13%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	-	-	-	-	-	8.00%	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	10.14%	9.89%	10.33%	13.18%	13.38%	-	-	-	-	-	13.35%	13.09%	13.57%	16.06%	16.13%
(j) Core Capital / Total risk weighted assets	15.20%	15.19%	15.39%	16.69%	16.32%	-	-	-	-	-	18.09%	18.06%	18.21%	19.16%	18.63%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%	10.50%	-	-	-	-	-	10.50%	10.50%	10.50%	10.50%	10.50%
(l) Excess (j-k)	4.70%	4.69%	4.89%	6.19%	5.82%	-	-	-	-	-	7.59%	7.56%	7.71%	8.66%	8.13%
(m) Total Capital / Total risk weighted assets	17.32%	18.01%	18.11%	19.90%	19.61%	-	-	-	-	-	20.09%	20.71%	20.84%	22.27%	21.86%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	14.50%	-	-	-	-	-	14.50%	14.50%	14.50%	14.50%	14.50%
(o) Excess (m-n)	2.82%	3.51%	3.61%	5.40%	5.11%	-	-	-	-	-	5.59%	6.21%	6.34%	7.77%	7.36%
(p) Adjusted Core Capital / Total deposits liabilities*	19.97%	19.63%	19.48%	-	-	-	-	-	-	-	21.79%	21.09%	22.66%	-	-
(q) Adjusted Core Capital / Total risk weighted assets*	16.71%	16.42%	16.20%	-	-	-	-	-	-	-	19.27%	17.81%	18.95%	-	-
(r) Adjusted Total Capital / Total risk weighted assets*	18.83%	19.20%	18.90%	-	-	-	-	-	-	-	21.24%	20.43%	21.56%	-	-
5. LIQUIDITY															
(a) Liquidity Ratio	51.27%	50.71%	50.17%	46.72%	45.77%	-	-	-	-	-	49.27%	48.75%	48.21%	48.23%	44.62%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	20.00%	-	-	-	-	-	20.00%	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	31.27%	30.71%	30.17%	26.72%	25.77%	-	-	-	-	-	29.27%	28.75%	28.21%	28.23%	24.62%

* The adjusted capital ratios include the expected credit loss provisions added back to Capital in line with Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

MESSAGE FROM THE DIRECTORS

On 1 September 2017 NIC Bank Limited completed its restructuring into a Non-Operating Holding Company. This followed receipt of the requisite approvals by shareholders and bondholders, as well as regulatory authorities including Central Bank of Kenya, Capital Markets Authority and The National Treasury. NIC Bank Limited also completed its change of name to NIC Group PLC. From 1st September 2017 the Kenyan banking business was undertaken by NIC Bank Kenya PLC. The Bank's 2017 comparative financial information is prior to the restructure.

The audited statement of comprehensive income for the Bank for the year ended 31st December 2017 comprise the combined Kenyan banking business for 12 months whilst that of the Company (NIC Group PLC) represents the performance for the 4 months period to 31 December 2017.

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nicgroup.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

NIC Group PLC and NIC Bank Kenya PLC are regulated by the Central Bank of Kenya.

BY ORDER OF THE BOARD
I. MURAGE
GROUP COMPANY SECRETARY